

Reinsurance Market Dynamics

January 2026 Renewal



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About this Report

Aon's Reinsurance Market Dynamics report provides a comprehensive assessment of key market trends in the context of the January 2026 renewals period. Commentary on global reinsurer capital, third-party capital and the macroeconomic environment offer insights on the potential direction of the global (re)insurance industry and future renewals.

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Executive Summary: Record Capital Expands Opportunity to Address More Sources of Volatility

Record-breaking capital and a benign hurricane season set the stage for fierce competition at January 1, exacerbated by growing appetite from third party capital providers for insurance risk. Capitalizing on a buyers' market, insurers were able to secure significant decreases in pricing and improved terms overall – creating new opportunities to reinvest savings to address customers' unmet needs and drive profitable growth with new solutions.

Reinsurer capital reaches new high

Global reinsurer capital reached a new high of \$760 billion at the end of September 30, 2025, driven largely by reinsurers' retained earnings and record levels of third-party capital. Despite total industry insured losses from natural catastrophes exceeding \$100 billion for the sixth consecutive year, reinsurers are set to produce yet another year of strong results in 2025. The reinsurance sector reported an average annualized return on equity of 16 percent for the first nine months of 2025, well in excess of the average cost of equity.

Buyers explore options to reinvest premium savings

With excess capacity in the market and stable demand, insurers achieved favorable outcomes at the January 1 property renewals. Competition was intense and widespread as reinsurers sought to grow and demonstrate their relevance, while third-party capital markets continue to expand and broaden their appetite. As a result, insurers were able to achieve significant decreases in pricing and improved terms at renewal.

Competition was particularly fierce in the U.S. property catastrophe market, with preferred risks typically achieving strong double-digit rate reductions at 1/1. Property renewals in EMEA, Latin America and Asia Pacific also saw double-digit discounts for non-loss impacted accounts with few exceptions. While insurers were broadly comfortable with current levels of protection at 1/1, many are likely to explore additional solutions to strengthen capital positions and support profitable growth initiatives.

Buyers returning to the market will find a wide range of complementary reinsurance and capital products. Frequency covers and earnings protection are increasingly available. We are seeing growing

interest in bespoke transactions such as structured solutions, loss portfolio transfers and facultative reinsurance, including hybrid treaty/facultative facilities.

Widening pool of capital

With each year, the relevance of alternative sources of capital continues to grow. Third-party capital reached a new high of \$124 billion at the end of the third quarter, an increase of \$9 billion relative to the end of 2024. The catastrophe bond market ended the year at an all-time high with more than \$24 billion issued across 74 sponsors and \$59 billion in catastrophe bonds outstanding. The sidecar market also continued to grow in 2025 through new (re)insurers, new investors and new structures with the property sidecar market at \$17.9 billion of invested capital and the casualty sidecar market at \$1.7 billion of invested capital. While the estimated \$1.7 billion of sidecar investment into casualty is small relative to property, these structures give insurers and reinsurers more flexibility in an improving market. Recent investor interest in these transactions is due to higher interest rates and the growth in U.S. private credit platforms and we expect more of these transactions needs to be plural executed in 2026.

We anticipate another year of growth for third-party capital as investors demonstrate consistent appetite for catastrophe bonds and sidecars. New capital sources continue to enter the market, with large alternative asset managers, such as Blackstone and Brookfield, having recently emerged as active participants in the property and casualty industry. Such firms increasingly see reinsurance as a source of non-correlating insurance product that, coupled with investment returns, can support fast-growing private debt strategies, often with lower return hurdles than private equity.

An increasingly diverse range of capital providers, supporting an expanding range of insurance risks through a variety of structures, is positive news for clients. Aon continues to facilitate innovative capital solutions for our clients, including notable sidecar and Lloyd's deals in 2025, with more in the pipeline.

Consolidation and excess capital

Traditional reinsurance capital is at very strong levels and growing. Despite ongoing geopolitical and macroeconomic uncertainty, this weight of capital is expected to increase competition and create greater impetus for reinsurers to pursue strategic M&A as a positive lever to enhance scale, capabilities and growth alongside organic initiatives. Further consolidation of the sector is a predictable consequence, with deals likely to be concentrated at the smaller end of the market, particularly where there is longstanding private equity ownership interest.

At the same time, various structural factors impact the pool of existing reinsurance premium. These include higher retention levels, captive formation, insurer consolidation and the growing penetration of third-party capital, which continues to put competitive pressure on traditional reinsurers, providing capacity at favorable terms. Third-party capital is also an enabler - it allows insurers and reinsurers to expand the scope of risks they can write.

Turning resilience into profitable growth

With a widening pool of capital seeking growth opportunities, the reinsurance industry has a

significant opportunity to address unmet client needs, large pools of underinsured and uninsured risk, and emerging exposures around the world. From climate to casualty, and AI to an aging population, these shifts are creating new insurable assets, new concentrations of risk and new product needs, essentially opening potential new markets.

Take technology. The growing relevance of data, cloud services and AI is fueling a digital infrastructure development, with some \$5 to \$10 trillion of investment expected in data centers alone by 2030. This has the potential to generate cumulative premiums of more than \$100 billion in the same period.

Similarly, evolving regulatory and litigation landscapes are contributing to growing demand for liability insurance: A recent study by Aon estimated that emerging risks in the casualty sector could contribute approximately **\$5 billion** of reinsurance premium annually.

Pivotal time

In a world in which risk and uncertainty is growing, businesses and governments look to insurers for solutions. Insurers can stay competitive and remain relevant to customers by leveraging attractively priced and diverse capital as well as revisiting long-term strategies and product mix to support growth and optimize protection. Building **best-in-class strategies** – from capital deployment and talent to distribution focus and underwriting innovation – is essential for thriving in today's attractive, yet dynamic market.



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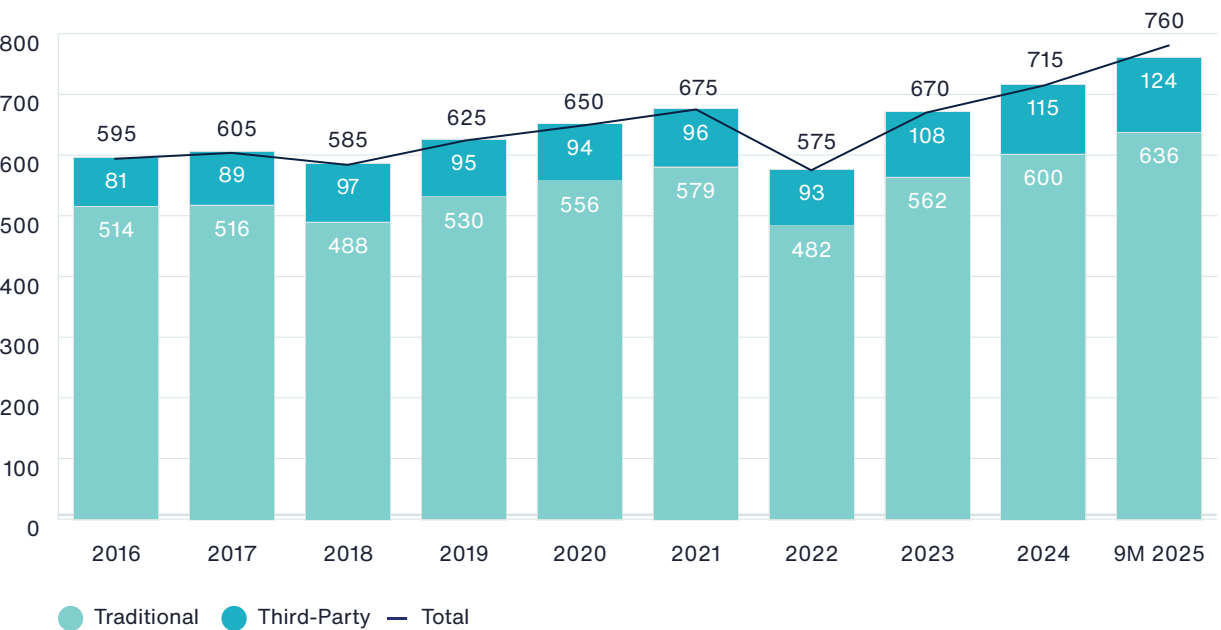


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Global Reinsurer Capital: Strong Earnings and New Inflows Push Capacity to New Highs

Aon estimates that global reinsurer capital rose to a new high of \$760 billion at September 30, 2025, an increase of \$45 billion relative to the end of 2024. Growth was driven by retained earnings, unrealized gains on bonds taken directly to equity and new inflows to sidecars and the catastrophe bond market.

Exhibit 1: Global Reinsurer Capital (\$ billions)



Sources: Company financial statements / Aon's Reinsurance Solutions / Aon Securities Inc.

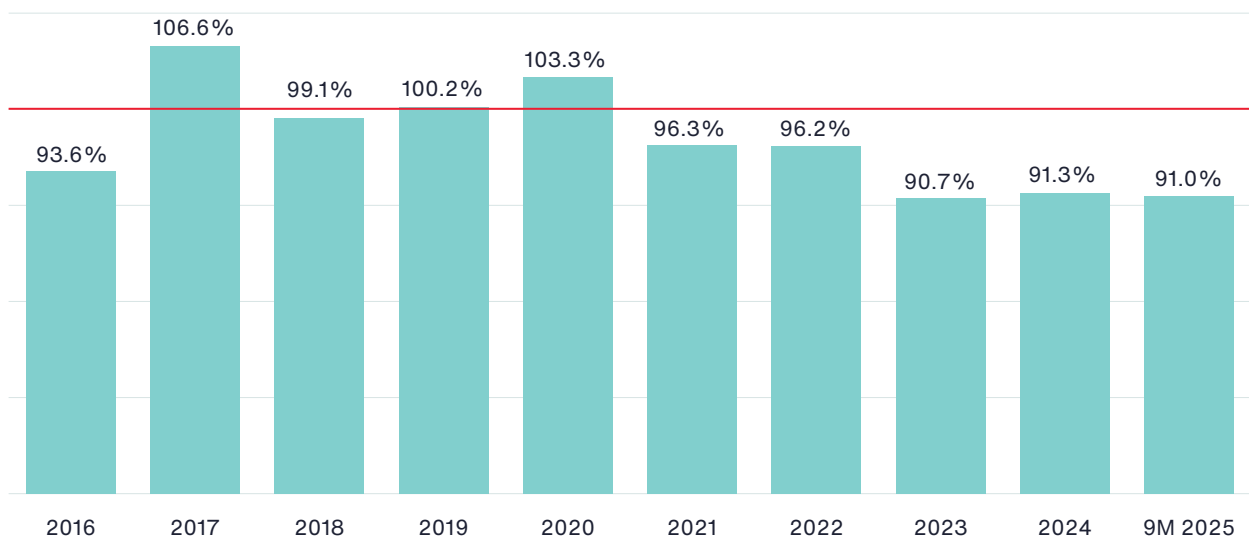
Aon estimates that equity reported by global reinsurers rose to a new high of \$636 billion at September 30, 2025, an increase of \$36 billion relative to the end of 2024, driven principally by strong retained earnings. Unrealized gains on bonds taken directly to equity also provided a tailwind, reflecting declining interest rates in the period. Investment in new rated start-up reinsurers remained very modest in 2025.

Third-party capital reached an estimated new high of \$124 billion at September 30, 2025, an increase of \$9 billion relative to the end of 2024, as strong non-correlating returns continue to attract new commitments and reinvested profit. Increased investor appetite is lowering retrocession costs and allowing many traditional reinsurers to expand their sidecar and/or catastrophe bond programs.

Traditional Reinsurer Results

Most reinsurers will produce a third strong result in succession in 2025. Although the year began badly with the California wildfires, ceded loss activity was otherwise relatively benign, with the primary market again bearing the brunt of elevated secondary peril losses. Consequently, most reinsurers remained well within their annual major loss budgets and strong underlying margins were reflected in an average combined ratio of 91.0 percent at the nine-month stage, across 23 companies surveyed.

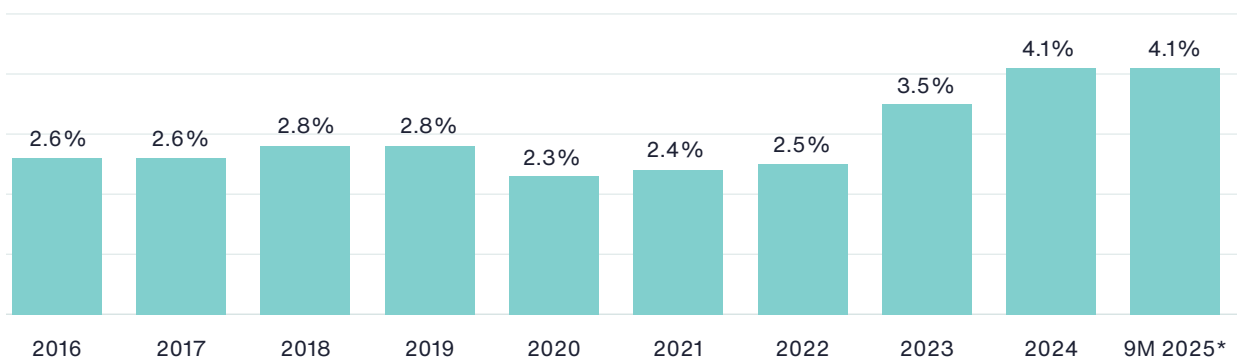
Exhibit 2: Reinsurance Sector Combined Ratio



Sources: Company financial statements / Aon's Reinsurance Solutions

Investment returns continue to provide strong support to overall earnings. The average ordinary yield, relating mainly to interest and dividend income, remained at 4.1 percent on an annualized basis in the first nine months of 2025. Mark-to-market gains on bonds and equities provided a significant boost to total returns.

Exhibit 3: Reinsurance Sector Ordinary Investment Yield

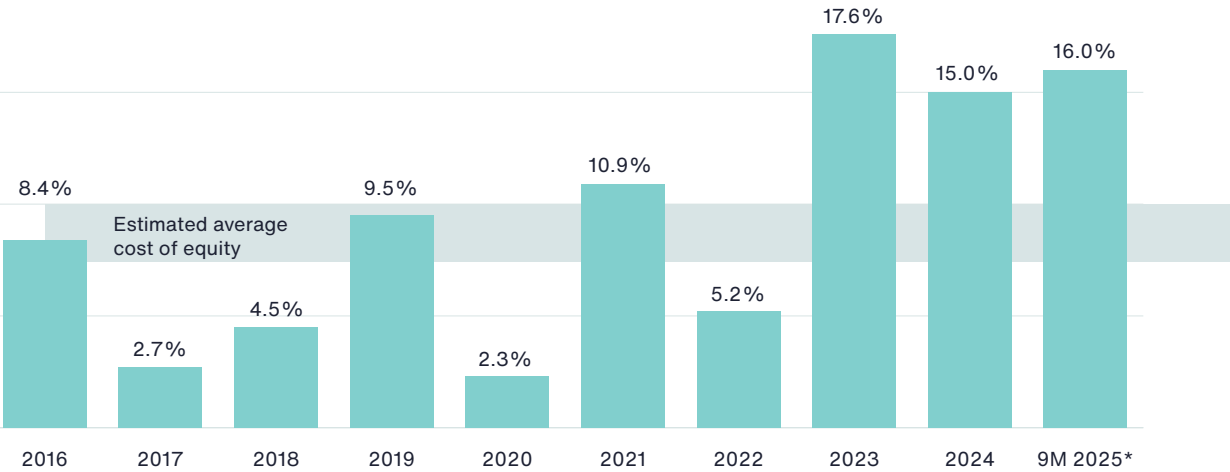


Notes: * Annualized.

Sources: Company financial statements / Aon's Reinsurance Solutions

The average return on equity was 16.0 percent on an annualized basis, with larger reinsurers generally performing better. This remains significantly ahead of the average cost of equity, which is estimated to move in a range of 8-10 percent over time.

Exhibit 4: Reinsurance Sector Return on Equity



Notes: * Annualized.
Sources: Company financial statements / Aon's Reinsurance Solutions



Outlook

Traditional reinsurance capital is at very strong levels relative to the risk being written today, and still building, net of significant returns to investors. This weight of capital is increasing competition, softening pricing, and sharpening the focus on alternative avenues for growth, including strategic M&A, product innovation and diversification to complement organic growth initiatives.

Further consolidation of the sector is a predictable consequence of these cyclical pressures, with deals likely to be concentrated at the smaller end of the market, particularly where there is longstanding private equity ownership interest.

At the same time, various structural factors are impacting the pool of existing reinsurance premium. These include captive formation and other types of self-retention, M&A activity that consolidates the client base and the growing penetration of third-party capital.

Record levels of catastrophe bond issuance continued in 2025 and the year also saw a proliferation of sidecar structures, as investors' desire to get closer to underlying insurance risk was matched by sponsors' desire to earn valuable fee income.

Unlike in prior years, many of the new vehicles are being set up to support longer-tailed casualty risk. Sidecars have also been formed to support MGA business and even legacy transactions.

The emergence of large alternative asset managers, such as Blackstone and Brookfield, as active participants in the property and casualty sector is reshaping the competitive landscape. For traditional reinsurers, this brings access to new pools of

capital and potential partnership opportunities, even as it adds to competitive pressure. Such firms increasingly see reinsurance as a source of investment float and non-correlating risk, that can support fast-growing private debt strategies, often with lower return hurdles than private equity.

Lloyd's was a major beneficiary of this new interest, which manifested itself in the formation of several new syndicates, designed to take a share of the sponsor's reinsurance in return for fee income.

Other capital strategies include issuing surplus notes or hybrid debt to replenish capital and fund growth, legacy reserve transactions to free up capital and protect against future earnings by carving out past liabilities, and spread loss covers to help manage earnings volatility related to retention increases from prior renewals. Global insurers are also using their scale and their diversified portfolios to implement internal reinsurance vehicles to maximize their buying power and manage group risk tolerances.

While these developments do increase competition for traditional reinsurers by drawing capacity into the broader market, they also create important opportunities. Reinsurers are increasingly able to use sidecars and catastrophe bonds to access third-party capital, manage tail risk more efficiently and optimize their business positions.

Aon sees a strong pipeline of future activity as reinsurers decide how to manage the market cycle against this backdrop. They risk being bypassed if they fail to meet emerging client needs, in what is an increasingly dynamic and complex risk landscape.

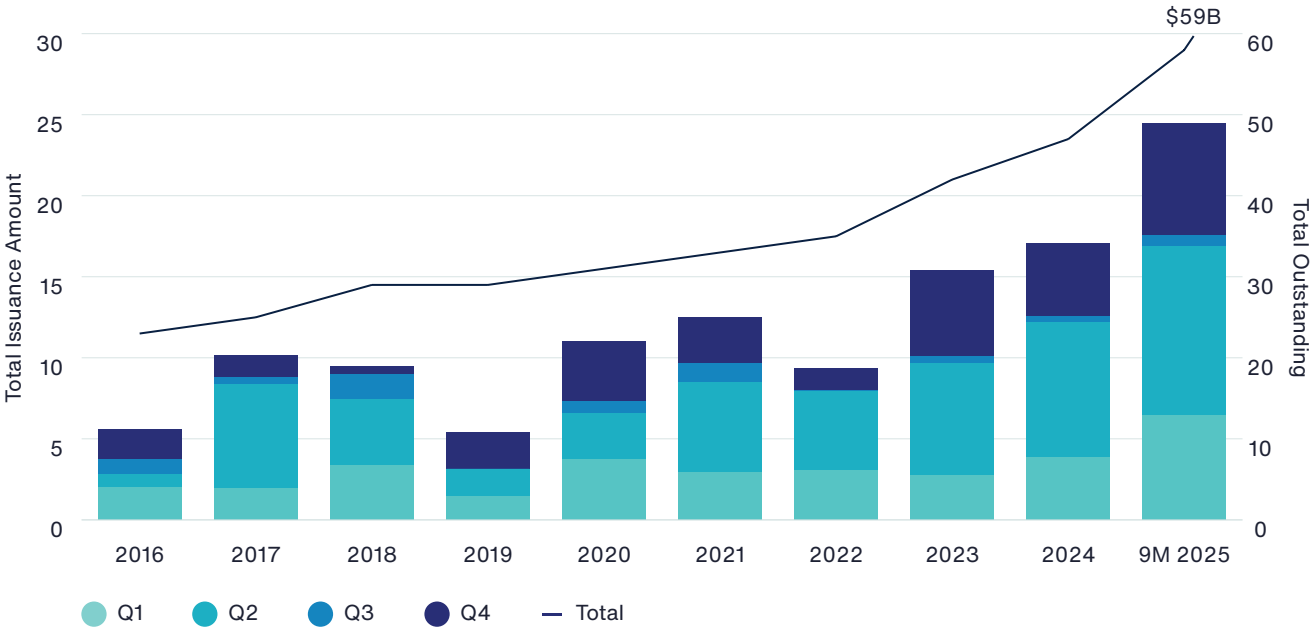
Third-Party Capital: Unprecedented Growth and Strong Investor Returns

Throughout 2025, third-party capital has become increasingly mainstream. The overall ILS market grew nearly \$10 billion from January through September, with strong gains in both catastrophe bonds and sidecar structures which are increasingly spanning both property and casualty lines of business. For the third year in a row, investors benefited from relatively benign catastrophe conditions and strong margins, resulting in 2025 double digit returns for the overall market. These strong gains, particularly in the summer months, resulted in an abundance of third-party capital. With investors looking to reallocate funds for 2026, clients saw meaningful pricing reductions during the fourth quarter which were commensurate with how

the traditional reinsurance and retrocession markets fared. Aon approaches 2026 with anticipation for growth and the increasing importance of ILS as the largest single source of catastrophe capacity in the global insurance market today, is unmistakable.

The catastrophe bond market completed 2025 with more than \$24 billion issued across 74 sponsors – an all-time high – and \$59 billion in catastrophe bonds outstanding. The fourth quarter has been notably active issuing roughly 30 percent more volume than the next largest fourth quarter in 2023. Due to the changes in modeling and general inflationary trends, 2025 saw an increase in average deal size compared to 2024 (\$281 million versus \$254 million, respectively).

Exhibit 5: Property Catastrophe Bonds Issued and Outstanding by Quarter (\$ billions)



Source: Aon Securities

During 2025, the government sector experienced record high issuance volumes with \$6.10 billion issued. This growth was largely driven by key government clients securing high levels of overall catastrophe bond coverage in 2025 including the California Earthquake Authority issuing a total of \$1.57 billion and Citizens Property Insurance Company issuing a total of \$1.525 billion. The market's fourth quarter's issuance was punctuated by California FAIR Plan entering the catastrophe bond for the first time with a \$750 million issuance. This transaction proves the market's ability to offer clients meaningful capacity after a major natural catastrophe, which the California Fair Plan withstood from the January 2025 Palisades and Eaton wildfires. By year-end, catastrophe bond investors supported \$1.10 billion of single peril California wildfire risk during 2025, which investors welcomed as a diversifying and higher yielding alternative to the peak perils of U.S. hurricane and U.S. earthquake.

Q4 2025 is expected to round out the year with nearly \$7 billion in total catastrophe bonds issuances with an increased level of commercial property exposures coming to market. In addition to the regular issuing clients of Beazley, American Family and Hartford, QBE placed \$250 million early in 2025 (on an industry loss basis for its reinsurance business) and came back to market in December for an additional \$400 million of coverage for its insurance businesses in Australia, New Zealand and the United States. The Cincinnati Insurance Company made their introduction into the catastrophe bond market in November looking to place \$150 million to complement their overall reinsurance program.

Cyber catastrophe bonds were a key theme during the fourth quarter. Beazley came back to market with the largest cyber catastrophe bond issuance, a total of \$300 million across 3 tranches and more than 25 investors participating on the transaction. Chubb also came to market and placed the first annual aggregate catastrophe bond at \$150 million. This transaction enables Chubb to aggregate unrelated defined events into an annual risk period and further illustrates investors' increasing confidence in cyber risk and associated modeling. While still early days, repeat issuances, expanding transaction sizes and issuance spreads being approximately 30 percent to 40 percent inside the first deals in late 2023 are all reasons to support Aon's continued enthusiasm for the prospects of cyber in the catastrophe bond market.

The fourth quarter issuance volume was dependent on investors being willing to accommodate issuance spread reductions, as clients continue to monitor overall relative value between both the ILS and traditional reinsurance markets. Aon's U.S. Wind Catastrophe Bond Secondary Spread Pricing Index indicates a price reduction of nearly 20 percent since January 2025. Through 2025, the catastrophe bond market maintained balanced pricing relative to the traditional reinsurance market, allowing the two markets to function as complementary sources of capacity; Aon expects this dynamic to continue and will underpin a strong catastrophe bond market in 2026.

Exhibit 6: U.S. Wind Catastrophe Bond Secondary Spread Pricing Index (Indexed to January 2025)



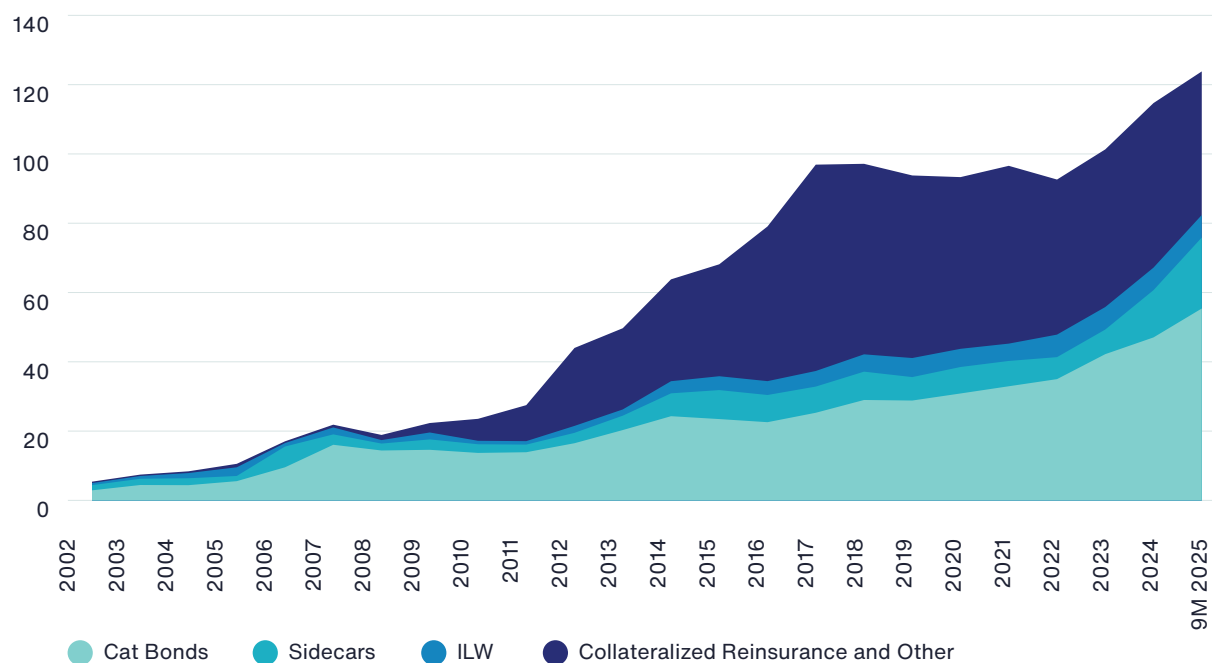
Source: Aon Securities, LLC

Despite catastrophe bonds facing spread tightening throughout the year, the market has however achieved strong double digit returns for 2025. Aon's Catastrophe Bond Total Return Index achieved 11.6 percent in 2025. The market sustained minimal principal losses from the January California wildfires and Hurricane Melissa which passed over Jamaica. Aon estimates 2025 catastrophe event losses will be less than 1.5 percent of the market's \$59 billion of current outstanding notional. Relatively high-interest rate returns ensured investors generated in excess of 4.0 percent collateral return throughout the year.

Investor returns in 2025 were further buoyed by market spread tightening, which raises the prices of outstanding bonds and generates mark-to-market accretion. As of mid-December, the weighted average secondary price of the outstanding cat bond market is 2.4 percent above par value. Ultimately the bonds will mature at par (if they are not event impacted), so investors will return the gains in future years. This factor, along with the tighter spreads in the new issuance market, may put downward pressure on catastrophe bond returns in 2026. As investors returned 18.6 percent in 2023, 15.5 percent in 2024 and now 11.6 percent¹ in 2025, Aon expects overall investor demand in 2026, with an ILS asset class continuing to provide investors with risk-adjusted diversifying returns.

¹ As of December 12, 2025.

Exhibit 7: Third-Party Capital Deployment (Total Limit in \$ billions)



Source: Aon Securities, LLC

The sidecar market also continued to grow in 2025 through new (re)insurers, new investors and new structures with the casualty sidecar market estimated at \$1.7 billion of invested capital and the property sidecar market at \$17.9 billion of invested capital. The property sidecar market remained strong despite the passing of the current pricing cycle peak as investors remain interested in historically elevated rates. The selective addition of specialty risk to property portfolios also helped expand the value of coverage provided while increasing potential returns for investors.

While sidecars are asset-intensive strategies, the transactions became a mainstream option for clients and investors which invest premium float in attractive assets, including private credit, to match the corresponding liability profile. (Re)insurance portfolios ranging in content from solely casualty to multiline property and casualty used this evolution

of traditional long-tail asset-liability matching. As examples, the Wayfare Reinsurance Limited partnership between Ascot Group Limited and Antares Capital exemplifies a pure casualty portfolio executed through a Bermuda sidecar, whereas the Syndicate 1890 partnership between Allianz SE and Oaktree Capital Management, L.P. illustrates a multiline portfolio executed through Lloyd's of London.

We believe that the growing value of new reinsurance capacity, enhanced ceding commissions and partnerships with skilled asset managers will encourage more clients to pursue sidecars in 2026. With more than \$10.3 billion of maturing catastrophe bond capacity anticipated in the first half of 2026 and investors consistent appetite to put capital to work with both catastrophe bonds and sidecars, we expect another year of growth for third-party capital.

Spotlight: Scaling (Re)Insurance Capacity for Global Data Center Expansion

Driven by global growth in AI, data and cloud services, the rapid expansion of data centers presents one of the most significant (re)insurance growth opportunities in decades. The pace and scale of capital investment in data centers, coupled with accelerating third-party financing and debt structures, is set to dramatically increase demand for insurance: Between 2026 and 2030, cumulative global insurance premiums associated with data centers are estimated to be \$134 billion.

Data Centers By The Numbers

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\$134B

estimated in global
data center insurance
premiums

2,108

data centers under construction
or planned with **\$5-10T** in total
investment by 2030



The Americas are expected to lead expansion with

3.4x increase in total capacity

Structural Drivers of Capacity Demand

Financing-driven insurance requirements:

Third-party financing is already common among developers and is increasingly used by hyperscalers, driving greater insurance demand for mega projects. Lenders and investors typically require property insurance to cover both the construction and operational phases of the project, in some instances creating overlapping insurance requirements at a single large site.

Rising values and limit needs: Large, multi-building data center campuses can require insurance limits of \$10 billion or more. These limits exceed what

the traditional insurance market has historically supported, requiring substantial reinsurance and third-party capital to complete programs and address lender-driven towers.

Speed to market and market share: Data centers must be built and quickly to match computing demand. This “speed-to-capacity” imperative requires insurers and reinsurers to respond quickly with scalable capital and tailored structures; otherwise, stakeholders may seek non-traditional risk solutions.

Three Enablers of Sustainable Participation

For insurers, a disciplined data center strategy is fast becoming a differentiator. Insurers must determine where they want to participate, develop the necessary underwriting capabilities and define their net appetite and reinsurance requirements. For reinsurers, there are significant opportunities to support higher gross capacity deployment and provide excess-of-loss and quota share structures calibrated to data center dynamics.

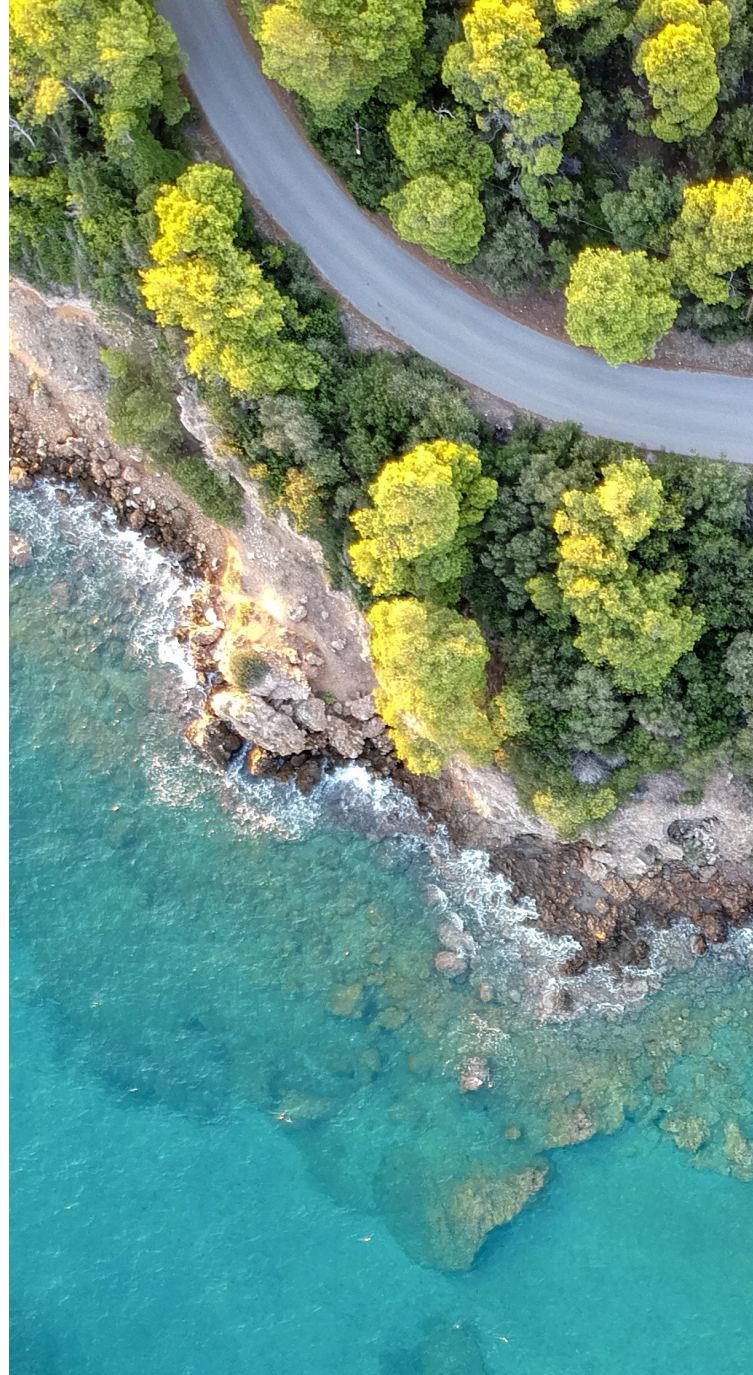
To capitalize on this opportunity, (re)insurers will need to focus on:

- 1. Specialized underwriting and risk insights:** Access to data center-specific engineering insights, resiliency features and operational best practices is critical to assessing and pricing risk profitably and supporting higher lines.
- 2. Aggregation and tail management:** Purpose-built aggregation tools and tail risk views—aligned with lender requirements and evolving energy and climate exposures—help shape net appetites, attachment points and layering strategies.
- 3. New forms of capital:** With insurance demand in excess layers escalating, there is a clear role for alternative and long-term capital providers—including ILS, asset managers, life insurers and sovereign wealth funds—to complement traditional reinsurance capacity and support sustainable growth in the sector.

Strategic Imperative

Data centers sit at the core of the digital economy, and their risk financing needs are scaling faster than the existing insurance capital base. Insurers and reinsurers that build a dedicated, resilient data center strategy—anchored in robust underwriting, tailored reinsurance programs and access to diverse capital sources—are well positioned to capture outsized, long-duration growth while helping to underpin global digital infrastructure.

Explore more on [Aon's Data Center Solutions](#).



Data centers represent a growing, capital-intensive segment where structural changes, including lender requirements, create a meaningful, sustainable growth opportunity for (re)insurers.

Demand-Supply Market Dynamics

Property: Excess Capacity Reinforces Buyers’ Market for Property Cat

Building on the positive momentum at renewals in 2025 and a benign U.S. hurricane season, reinsurance buyers achieved favorable results at the January 1 property renewals. With reinsurers and third-party capital providers looking to grow and deploy their abundant capital, insurers attained significant discounts and improved terms at renewal. Competition was notably more intense and widespread at the January renewal than a year prior, with reinsurers demonstrating greater flexibility and desire to write risks that were previously outside or at the periphery of their appetite. The U.S. was particularly competitive, with non-loss impacted accounts typically achieving strong double-digit

rate reductions. Property reductions in EMEA, Latin America and Asia Pacific were also generally in the double-digit range for non-loss impacted accounts. Insurers are now in a commanding position and those that took a strategic approach to the renewal process and timing, and that were able to leverage over placement, were able to achieve superior outcomes. We expect some insurers will return to the market post renewal to take advantage of favorable market conditions and explore additional protections to reduce earnings volatility, including aggregate products and structured solutions.

Topic	Commentary
Abundant Capacity	Capital was abundant with supply significantly outstripping demand. Strong net-retained earnings have led traditional reinsurers to deploy more capacity while the presence of third-party capital is more pronounced. More diverse sources of capital are increasing their participation in the market through a broad range of established and innovative structures, further expanding the market’s ability to take on risk at favorable terms. Capacity has also flowed into the market via new players in the form of start-up reinsurers and managing general agencies, which continue to gain traction and bring further competitive tension to renewals.
Stable Demand	Reinsurance demand was broadly stable, with an average 5 percent year-on-year increase in limit purchased at the 1/1 renewal. The main exceptions are Italy and Greece where demand has increased by 10 to 20 percent following recent changes to natural catastrophe insurance schemes. Limit purchased also increased by 10 to 20 percent in Turkey due to inflation and exposure growth, which was partially offset by movements in foreign exchange rates. Post renewal, insurers are expected to take advantage of favorable market conditions and premium savings to purchase additional protection.
Natural Catastrophe Losses	Strong competition at the January renewal was supported by a quiet U.S. hurricane season, with relatively few losses ceded to the reinsurance market in 2025. Global insured losses from natural catastrophes in 2025 are set to exceed \$100 billion for the sixth year in a row, driven by the California wildfires in January, which caused insured losses of approximately \$40 billion, and U.S. severe convective storms in H1. However, the remainder of the year was relatively benign with no major hurricanes making landfall in the U.S. Hurricane Melissa, which struck Jamaica in October as a Category 5 storm, caused insured losses in the low single-digit billions and had little influence on the 1/1 renewal.

Topic	Commentary
Buying Power	Retention levels and attachment points, which were raised significantly in challenging 2023 renewals, were largely unchanged at 1/1 renewals (on a nominal basis, but are higher from a risk-adjusted perspective). While reinsurers are now willing to negotiate lower deductibles, most buyers are broadly comfortable with current retention levels, preferring to focus on pricing and terms. Market conditions have also enabled insurers to push back on restrictions and restore coverage lost in the hard market, namely around terrorism, riots and cyber.
Earnings Protection	With fierce competition for peak perils and top layers, reinsurers are demonstrating greater appetite and flexibility around earnings protection and frequency covers. January renewals saw growing interest among insurers and reinsurers for such products, including aggregate solutions, reinstatement protection, multiple event and top-and-drop covers, as well as structured solutions. Reinsurers are also more actively seeking risks with elevated margins, such as wildfire and severe convective storm.
Proportional Reinsurance	The strong performance for personal lines and excess and surplus lines in the U.S. is leading some insurers to explore proportional reinsurance solutions, which provide greater flexibility and optionality, as well as mitigation against future changes in market conditions. With growing competition in reinsurance markets and robust underlying rating in personal lines, reinsurers are increasingly willing to offer proportional covers at attractive terms.
Panel Diversification	With growing competition in the market, insurers are looking to diversify and expand their reinsurance panels following contraction in recent years. Buyers are growing more confident transacting with new players and third-party providers as they pursue growth plans and review their reinsurer relationships. Meanwhile, faced with growing competition, reinsurers are increasingly differentiating around service levels and collaboration. Recent mergers and acquisitions had no material impact on the 1/1 renewal, given the excess capacity in the market.
Asia Pacific	Major 1/1 renewals in Southeast Asia, Korea and Greater China saw an acceleration of soft market conditions. Capacity remains abundant, with all placements oversubscribed. Non-loss affected accounts saw risk-adjusted reductions approaching 20 percent on excess of loss, and improved commission terms on proportional programs. Loss affected territories of Vietnam and Thailand are the exception, with increases of more than 30 percent on average. The oversupply of capacity in the market presents opportunities for aggregate excess of loss, buy-downs and spread loss covers for cedants looking to protect their earnings volatility. This strong competition is pushing reinsurers to be more flexible with their appetite and pricing of frequency and earnings protection.

Topic	Commentary
EMEA	Closing the protection gap in EMEA presents a sizable growth opportunity for the (re)insurance market. European countries continue to discuss potential private/public solutions to protect individuals and businesses from extreme natural catastrophes while limiting the burden on public finances. The introduction of mandatory natural catastrophe insurance for small businesses in Italy and Greece in 2025 is already stimulating increased reinsurance purchasing in their respective markets. Other countries in EMEA (e.g. Germany) are also looking at potential private public insurance solutions that will require additional (re)insurance capacity at future renewals.
Latin America	Conditions at 1/1 renewals in Latin America were favorable, supported by a relatively benign year for natural catastrophes and healthy competition. Capacity was ample across the region as established reinsurers increased their appetite and with new entrants, mostly in the form of managing general agencies. While mid-year is the main renewal period for Latin America, insurers at 1/1 experienced double-digit reductions. The notable exception was Argentina, where reinsurance prices were typically flat or slightly reduced following a large fire claim and storm losses earlier in 2025.
Parametric Solutions	Insurers continue to pursue parametric covers as an alternative or to supplement existing reinsurance programs if traditional capacity is not available or efficiently priced. While the parametric market tends to be stable through market cycles, we've seen meaningful rate reductions on 1/1 renewals driven by increased competition. No longer a niche product, parametric solutions can deliver rapid capital relief without balance-sheet trapping, immediate liquidity and capital diversification. In Latin America, Aon recently helped close the protection gap with groundbreaking parametric solutions for Starbucks – protecting smallholder farmers with liquidity and coverage to hedge climate change, sustain the global value chain and access capital for vulnerable communities. For the National Federation of Coffee Growers of Colombia, Aon integrated public-private stakeholders for long-term, sustainable liquidity and resilience, and for Faber-Castell in Brazil, Aon addressed complex wildfire exposure through parametric structures when traditional markets fell short.
Global Property Specialty	The property specialty market experienced improved pricing and coverage which was driven by increased supply from existing and new markets across all products. Buyers focused on product value and cycle management as the market shift continues; a delayed approach resulted in concentrated purchasing behavior with a focus on price and level, while coverage, and reinsurer relationships remained important factors. Clients continue to evaluate product use/calibration across property specialty product segments to align with their underlying portfolios, demand/supply dynamics, and resultant economics. The absence of any major (collateral trapping) loss to the segment resulting in recoveries, including minimal impact from the California Wildfires, has supported strong profitability across the segment.

Facultative: Flexible Options to Support Profitable Growth

An increasingly favorable facultative reinsurance market offers insurers an expanding range of flexible and complementary solutions to de-risk portfolios and support growth.

Demand for facultative reinsurance remains strong while capacity for property is increasing with reinsurers showing a greater interest in facultative

facilities, resulting in more favorable pricing at 1/1. Renewals also benefited from further developments and innovation in the facultative space, with an expanding range of options for buyers. In particular, hybrid treaty/facultative solutions are emerging as a powerful tool for insurers to align reinsurance strategy with broader business goals.

In 2025, Aon's established commercial risks' facility Aon Client Treaty was extended to support global facultative clients.

Topic	Commentary
Robust Demand	Demand for facultative reinsurance remains robust, with buying patterns largely reflecting changes in insurance and reinsurance conditions. The simplification of direct insurance placements – which has seen fewer insurers writing larger lines on large commercial risks – is driving increased demand as insurers use facultative reinsurance solutions to write higher limits. Demand is also increasing as insurers use facultative solutions alongside treaty to support growth and manage volatility as they expand into new lines of business and geographies.
Capacity Growth with New Players	Facultative capacity has grown significantly over the past twelve months as competition in reinsurance and insurance markets has diverted more capital into the facultative space through a variety of structures. New players continue to enter the market, while reinsurers, insurers and managing general agencies have increased their appetite for facultative reinsurance as competition in their respective markets has increased. Notably, reinsurers are showing growing interest in supporting facultative facilities, providing insurers with efficient access to additional capacity through both proprietary and hybrid facilities. In 2025, Aon's established commercial risks' facility Aon Client Treaty was extended to support global facultative clients.
Hybrid Facilities	In addition to single risk facultative solutions and multi-cedent proprietary facilities, single cedant facultative facilities have emerged as a powerful tool for insurers looking to grow their portfolios. Often referred to as treaty/fac hybrids, cedant facultative facilities provide insurers with an efficient, flexible, customized alternative that blends the efficiency of automatic treaty-style capacity with the precision of facultative placement. This represents a revolutionary shift in facultative buying from a tactical necessity to a strategic enabler, targeting specific portfolio segments to meet defined client objectives.

Topic	Commentary
New Casualty Facilities	The casualty facultative reinsurance market continues to experience steady demand, although conditions in the U.S. casualty space are more constrained compared with international casualty. Aon is working with reinsurers to attract new facultative capacity to the casualty market, with these efforts gaining traction in recent months. New multi-cedent casualty facultative facilities are also in the pipeline.
Treaty Collaboration	Treaty and facultative collaboration continues to deepen for property and casualty, with all new placements at 1/1 seeing Aon's treaty and facultative teams working side by side. Facultative solutions are increasingly being used to complement and supplement treaty programs, bolstering capacity and supporting growth in a particular market with extra protection. Aon placed a number of facultative covers alongside reinsurance treaties at 1/1 to support the growth of start-ups and new portfolios.



Casualty: Increasing Capacity and Growth Opportunities

Conditions in the casualty reinsurance market at 1/1 were relatively favorable as increased capacity and reinsurer appetite helped fuel growing competition for international casualty and stability for U.S. placements.

Despite a challenging U.S. tort environment, casualty insurers were in a strong position at 1/1 renewals on the back of improving results, a continuing robust underlying primary market and attractive investment returns. In addition to the re-emergence of traditional reinsurance capital, third-party capital has made its presence felt in the casualty market, providing alternative options and improved terms.

The expansion in capacity coincides with a longer-term trend for increasing demand for liability coverage. In addition to the traditional casualty reinsurance market, there are growing opportunities for proactive casualty reinsurers in areas such as legacy liability transfers, parametric solutions and casualty catastrophe protections. To help capture these opportunities, Aon and Moody's developed named peril casualty solutions to cover emerging risks in the casualty sector that has the potential to contribute **\$5 billion** of additional reinsurance premium annually.

Topic	Commentary
Increasing Capacity Supply	Capacity for casualty reinsurance is broadly increasing, supported by strong appetite from current reinsurers and new entrants to the market, and the growing relevance of third-party capital. Over the past twelve months, third-party capital providers have supported a diverse range of reinsurance structures in the casualty market, including sidecars and internal reinsurance vehicles. Such structures provided additional capacity at favorable terms, building overall competitive tension. The renewal also benefited indirectly from competition within the property catastrophe reinsurance and short-tail lines segments. As most reinsurers seek aggressive premium growth targets, those that maintain a holistic whole-client approach, including support for casualty remain the most relevant.
Strong Demand	Reinsurance demand is strong overall and retention levels remain stable. However, casualty insurers increasingly are recognizing the benefits of rate increases, underwriting and claims management actions taken over the past two years reflected in improved results and more adequate reserves, while relatively high interest rates continue to support attractive investment returns. Many casualty insurers are now experiencing increased buying power at renewals and are generally more confident when evaluating the balance of net retained versus ceded risk.
United States	Renewals for U.S. casualty reinsurance were broadly positive at January 1. Increased capacity helped maintain stable conditions, resulting in flat or slightly improved pricing for most placements. Capacity was ample as many reinsurers looked to grow their lines and there were no major reinsurers looking to reduce. While the effects of nuclear verdicts, legal system abuse and third-party litigation funding remain key concerns for the market, the strong underlying rating environment for U.S. casualty is helping maintain a demand/supply equilibrium.

Topic	Commentary
International	International casualty reinsurance is increasingly competitive, supported by new and expansive capacity and favorable loss development for non-U.S. claims since 2019. Market conditions remain bifurcated: large complex business with heavy U.S. exposures has seen more measured improvement, while buyers with smaller or less complex portfolios are achieving more pronounced risk-adjusted rate reductions. Buyer-friendly conditions are enabling cedants to seek improved terms and conditions. In Argentina, the recent modernization of workers' compensation requirements will make the market more attractive to reinsurers and insurers.
Financial Lines	The financial lines reinsurance market was generally orderly and more favorable than previous years, with sufficient capacity to complete placements. The key concern remains large original rate reductions, especially for public D&O. However, Aon's latest quarterly D&O Pricing Index shows U.S. public D&O primary pricing down just 1 percent on average in Q3, signaling stabilization after multiple years of more material decreases. Reductions have been less pronounced in other areas, with positive rates still available in pockets of professional indemnity in particular. These underlying dynamics helped shape reinsurer appetite at renewal. International programs were again competitive, while treaties with heavy concentrations of U.S. public D&O exposures or notable loss activity received closer attention. Alongside these core considerations, reinsurers also noted the evolving risk landscape – including emerging AI-related exposures and broader economic and geopolitical uncertainty. Shifts in original coverage were monitored, such as increased instances of blended cyber in financial institutions' risks and the loosening of fire safety exclusions in UK professional indemnity portfolios.
Transactional Liability	Capacity for transactional liability has contracted from previous highs. However, heavily scaled-back exposures for contingent liability, early signs of rate improvement and expectations for increased deal flow assisted placement dynamics at 1/1, though capacity remains selective and sensitive to economics.



Specialty: By Line of Business

Aviation reinsurance: A stable outcome

During 2025 we have witnessed more significant loss activity including, inter alia, the American Airlines, Air India and UPS losses, coupled with more certainty on the Russia, Ukraine and Belarus (RUB) losses following the June 11 UK Court outcome. The recent airline insurance renewals, particularly for US carriers, are now showing more positive rate momentum.

On the supply side, reinsurers continue to be most comfortable offering coverage on an excess of loss basis. General XL capacity remained abundant with flat to modest risk-adjusted rate change, likewise for retro and War XL, where capacity was stable. Reinsurers held firm on retentions, tightened conditions and minimum rate-on-line levels on global catastrophe covers imposed over the last three years.

Reinsurers with the ability to offer coverage across various segments on a 'package deal' basis were able to leverage this competitive advantage to secure better signings. Client demand for excess of loss capacity was broadly stable.

Proportional renewals continue to face scrutiny, particularly the airline insurance content, although the positive momentum described above provided some relief. Reinsurers will look for airline insurance rates to improve further during 2026. Capacity was viewed as largely stable on global quota shares and largely adequate on war quota shares.

Going forward, reinsurers will be focused on insurance rates and the development of recent losses.

Marine, energy and terror: Benign losses spark favorable terms

The marine, energy and terror reinsurance market has a large percentage of renewals at January 1 and is traditionally late relative to other lines of business. This year reinsurers engaged a little earlier, but quotes and firm order terms stalled until the week before Christmas. Once terms were agreed, placements moved fast with a multitude signed and bound earlier than previous years due to the benign loss environment and limited change in both structure and coverage. Overall entry and exit points remained stable, with clients generally not using price savings to purchase lower attachment points. Political violence and terror event definitions were expanded again, with the market moving towards greater consistency. There were also minor improvements in some war coverage within marine.

Generally, excess of loss pricing reduced by low to mid double-digit figures dependent on region and

most notably if the underlying book grew. Quota shares were able to achieve small improvements in ceding commission, even in downstream energy, which was impacted by above average loss activity in 2025. Price softening was driven by the oversupply of capacity from both existing and new reinsurers looking to grow in these classes.

The aviation war losses caused a shift in the way buyers consider shaping their reinsurance panels rather than having a major effect on price. There was little evidence of any pricing difference for insurers with aviation war losses, as were generally considered paid back by 2026. However, the loss demonstrated that clients gain a significant advantage with larger reinsurers less dependent on retro, particularly when in a lead position.

Trade Credit, Structured Credit and Political Risk, and Surety: Increased Capacity and Positive Claims Trends Bolster Stable Conditions

Credit and surety reinsurance rates experienced rate reductions at 1/1 renewals except U.S. surety which had differentiated outcomes based on exposure growth, portfolio change and ceded performance. Reductions were, to some extent, less meaningful than other lines of business as a consequence of pricing not increasing in the hard market of 2023 as much as other lines.

The potential impact of U.S. tariffs dominated conversations in the first half of the year, but the impact has been less than many expected. While trade flows have been affected, this has not translated to higher claims for credit insurers. Geopolitical tensions have, however, led to growth in demand for some underlying products.

Demand for structured credit insurance in the banking sector continues to increase, with new international banking regulations (Basel III) providing clarity on the use of credit insurance products for capital relief. In contrast, the traditional whole turnover trade credit business continues to experience limited top-line growth.

Overall loss ratios for the market remain at positive levels, resulting in increased competition within the insurance sector, both in terms of capacity and premium rates. The reinsurance sector is also now more competitive. Capacity has increased as incumbents seek to protect and grow market share,

and as new entrants look to build portfolios. As a result, reinsurance renewals have seen positive price movements for all programs unless impacted by losses.

Commission rates on proportional reinsurance have increased, and for many placements commission levels are now greater than 40 percent. Excess of loss rates reduced by low-to-mid single digits, with higher reductions at the lower end of placements where the rates-on-line are higher and there is more room for rate reductions when compared to higher layers with close to minimum rates on line. Despite new capacity entering the market, established reinsurers have largely maintained their positions on programs.

The primary surety industry continues to grow in North America supported by public infrastructure spending as well as new investment in projects centered around data centers and increased demand for power. North America's surety loss activity during the year reverted from the peak in 2024, although there are a number of large potential situations that could impact conditions as we head into 2026. Reinsurer results improved relative to the last several years as terms and conditions strengthened, but volatility remains a concern. There's been an increase in new capital interested in the North American surety market which is expected to grow in 2026.



Spotlight

Life and Health: Product Innovation to Close the Protection Gap

U.S.

Life insurers in the U.S. are increasingly collaborating with private equity firms, leading to a meaningful revamp of traditional investment approaches and altering how insurers access reinsurance solutions. These partnerships are opening doors to new asset classes and enabling insurers to derisk capital intensive lines of business by transferring risk and optimizing capital usage.

In parallel, there is an ongoing shift toward alternative and private investments, including privately placed corporate debt, middle market direct lending, private equity funds, collateralized loan obligations (CLOs), and other structured solutions. This evolution supports further diversification of insurers' product lines, even as attractive investment opportunities in these markets are becoming more difficult to source at scale.

Momentum continues to build for outsourcing, with insurers increasingly awarding asset management mandates across a range of structures, including those embedded within reinsurance arrangements. Reinsurance of asset intensive blocks and ongoing flow business remains a key tool in this trend, supporting both investment and balance sheet objectives.

Latin America

In Latin America, pricing for life (group and credit) and personal accident insurance has remained broadly stable, continuing the post-pandemic trend of improvement supported by favorable loss experience. At the same time, insurers and reinsurers are planning the development of new products aimed at closing coverage gaps in the senior segment (55+), reflecting demographic shifts across the region. These initiatives often include complementary services and assistance features, and reinsurers have demonstrated clear interest in supporting their rollout. In individual life, activity is focused mainly on direct business and historic portfolios written on a proportional, risk-attaching basis.

In the health segment, medical inflation—driven by new technologies and high-cost medications—is exerting upward pressure on claims costs. For reinsurance, this is translating into program restructuring, with cedents generally accepting higher retentions in response to increased reinsurance rates. Beyond traditional covers, there has been a notable growth in Insurtech solutions designed to complement personal lines portfolios and enhance value propositions for retail customers.

Overall, Latin American reinsurance buyers show a stronger inclination toward non-proportional structures with relatively high retention levels. Country-specific dynamics are also shaping demand and terms. In Mexico, regulatory changes related to taxation are affecting expected loss ratios in medical expense programs, requiring careful recalibration of pricing and structures. In Colombia, workers' compensation treaties must now incorporate specific, non-traditional coverages addressing pandemic risk and mortality deviations, driven by regulatory changes affecting underwriting criteria and reserve requirements. Despite these complexities, reinsurers maintain robust appetite for business from Colombia, Mexico, Peru, and Chile, and are exhibiting growing interest in Argentina as economic conditions improve, mirroring their supportive stance elsewhere in the region.

Looking ahead to 2026, new business opportunities are emerging, including complementary medical expense coverage linked to the Fonasa public system in Chile, unemployment and disability programs, affinity products, life annuities, and a range of stand-alone health solutions such as medical expense and compensation covers for cancer, surgeries, prosthetics, and major illness. These developments underscore the continued evolution of the Latin American life and health reinsurance landscape, with innovation increasingly focused on closing protection gaps and managing rising healthcare costs.

EMEA

Overall capacity, demand and risk appetite remain stable, but pressure persists in certain lines, particularly long-term disability and medical expenses. These segments face structural challenges that make reinsurance more complex in some markets.

Disability is affected by inflation-linked benefits, long-tail claim duration and sensitivity to economic conditions. Elevated inflation increases the cost of long-duration claims, while the rise in mental health cases adds uncertainty due to unpredictable claim lengths. Medical expenses are also under pressure from inflation that exceeds general consumer prices, driven by rising treatment costs, higher utilization and regulatory pressure—reducing predictability and challenging traditional reinsurance structures.

Looking ahead, insurers are focusing on product innovation to address demographic and social trends, such as mental health coverage, aging populations, and hybrid solutions combining protection and services. Also, the market is seeing more capital-related transactions, such as mass lapse deals, pensions and longevity risk transfers, driven by evolving regulatory guidance. These moves reflect insurers' efforts to optimize balance sheets and manage long-term liabilities, with further risk transfer activity expected. At the same time, new non-traditional reinsurers are entering the market with competitive terms and a transactional approach, increasing competition, and expanding available solutions.

APAC

The Asia Pacific life and health reinsurance market in 2025 is marked by steady expansion, ample capacity and a more deliberate use of reinsurance as a balance sheet and risk management tool. In a softening P&C reinsurance environment, L&H reinsurance is becoming increasingly important to many reinsurers as they seek diversified, profitable growth across the global market.

On the demand side, primary life and health insurers continue to cede more business as they respond to tighter risk-based capital regimes across the region, which is driving interest in structured reinsurance, longevity and lapse solutions, and capital relief transactions. L&H insurers continue to experience strong underlying growth in their customer base, where both increasing population wealth and high medical inflation are together driving double digit growth in gross premium volumes in many markets. Post pandemic awareness of mortality, morbidity and income protection risks continues to support growth in individual and group protection lines, particularly in emerging markets.

On the supply side, reinsurer capital remains strong, and competition is intensifying. Global and regional reinsurers, third-party capital providers and private equity backed platforms are all targeting Asian life and health risk, attracted by long term growth prospects. Recent sidecar and partnership structures focused on Asian life and annuity portfolios illustrate the depth of investor interest in the region. In more mature APAC markets such as Japan, Korea and Hong Kong, asset intensive reinsurance has gained significant traction as insurers seek to release capital from legacy savings and annuity blocks.

In life and health traditional reinsurance, conditions are generally stable to mildly cedant favorable. Overall appetite and available capacity remain healthy, though a number of lines continue to be more constrained – notably long-term critical illness and medical expense covers, where product design, medical cost escalation and regulatory factors make reinsurer support very selective. Even so, 2025 renewals have generally produced satisfactory outcomes for cedants, with good capacity for core lines and an ongoing focus on long term partnerships. Growth opportunities for traditional reinsurance are strongest in high growth markets such as India and Southeast Asia, in mortality, health and critical illness products.



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[Aon plc](#) (NYSE: AON) exists to shape decisions for the better — to protect and enrich the lives of people around the world. Through actionable analytic insight, globally integrated Risk Capital and Human Capital expertise, and locally relevant solutions, our colleagues provide clients in over 120 countries with the clarity and confidence to make better risk and people decisions that help protect and grow their businesses.

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